2. Executory Contract

A contract in which both the parties are yet to fulfil their obligations, it is said to be an executory contract. For example A agrees to buy B's cycle by promising to pay cash on 15th June. B agrees to deliver the cycle on 20th June.

3. Unilateral Contract

A unilateral contract is a one sided contract in which only one party has performed his promise or obligation, the other party has to perform his promise or obligation.

For example X promises to pay Y a sum of Rs.10,000 for the goods to be delivered by Y. X paid the money and Y is yet to deliver the goods.

4. Bilateral Contract

A contract in which both the parties commit to perform their respective promises is called a bilateral contract. For example R offers to sell his fiat car to S for Rs.10,00,000 on acceptance of R's offer by S, there is a promise by R to Sell the car and there is a promise by S to purchase the car, there are two promises.

Key Terms

Agreement	Consideration	Proposal
Acceptance	Offer	Promise
Lawful	Consent	Coercion
Void	Valid	Auction
Enforceable		



For Own Thinking

1. A agrees to pay B (Rs.20,000) and in consideration, B agrees to unload 10 bags of sugar from a truck in 5 minutes. Is it a Valid contract?
2. X writes to Y, "As a doctor you treat my wife without charging, I promise to pay you Rs 10,000/-. "X" does not pay. Advise Y
3. P owes Q Rs.10,000/-for the last 10 years and the payment is time barred. P signs a pro-note for it. Is it a valid contract? If yes, give reason



For Future Learning

1. After studying this chapter any one can enter into Valid Contract and can also identify the essentials present in the contract.
2. After understanding this chapter entering into Offer and giving Acceptance becomes easier
3. After going through this chapter the value of consideration and the requirement for return payment can be understood better.
4. After reviewing this chapter the parties who are allowed to enter and the parties who are not allowed to enter into a contract can be clearly demarcated.
5. After analysing this chapter an obligation imposed by law – Quasi Contracts are better understood and distinguished from other contracts.

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